

PRIVILEGED AND CONFIDENTIAL

ADVICE ON PROSPECTS

To: Mr Callum Bright, Group General Counsel, Solenne Materials Ltd

From: Tomas Whitlock, Senior Associate, Halberd Quinn LLP

Date: 6 May 2026

Matter: SOL-2026-0207

1. SUMMARY

Solenne has good prospects of establishing that the weld certification supplied for batches 14 and 15 met the specification in the order confirmation of 2 September 2025. We assess prospects on liability at 65 to 70 per cent.

2. THE REJECTION

Kestrel Fabrication Group's rejection notice of 20 January 2026 relies on clause 9.2 of the supply agreement, which permits rejection for certification that does not conform to EN 1090-2. The certification supplied by Solenne's approved welder, Bracken NDT Services, records conformity with EN 1090-2 Execution Class 3.

Kestrel's own quality manager accepted an equivalent certification format on batches 1 through 13 without objection, which weakens any argument that the format itself was defective.

3. NOTICE PERIOD

Clause 14.3 requires a rejection notice within ten working days of delivery. Batch 15 was delivered on 5 January 2026. Ten working days, excluding the day of delivery, expired on 19 January 2026. The rejection notice is dated 20 January 2026, one day late on that construction.

4. AUTHORITY

We rely on Harrow Timber Co v Bellamy Frères [2018] EWCA Civ 1140 on the construction of working-day notice periods, which held that the day of delivery is excluded from the count.

5. QUANTUM

The direct cost of remedial fabrication is GBP 340,000. Solenne also claims GBP 210,000 for delay to the Deeside programme, calculated at the daily rate under the main contract with the ultimate developer.

6. KESTREL'S POSITION

Kestrel Fabrication Group is a mid-sized structural steel fabricator. It is understood to sit within a wider group structure, though the precise ownership above Kestrel has not been confirmed for the purposes of this advice and does not affect the analysis above.

7. RECOMMENDATION

We recommend proceeding to adjudication if the commercial teams cannot resolve the certification dispute directly.

Tomas Whitlock, Senior Associate